

the markets do loops, it's not worth the heartache. You will ultimately feel stressed out about money, will worry constantly, and will eventually bail—probably at the wrong time.

RECOMMENDED ASSET ALLOCATION FOR 6 COMMON INVESTMENT PERSONALITIES

So how do these factors determine your investment mix? Here are six common types of investment personalities, and the recommended asset allocation for each.

1. Cash

You need the money within a very short period of time and cannot afford to lose a cent of it. You are likely accumulating for something like a down payment on a house, or some imminent purchases.

Allocation: 100% Cash

2. Conservative

You have a short investment time frame, and a low tolerance for investment fluctuation. You may need to draw a hefty income from the portfolio now, or shortly. Hopefully you are not in a high-income tax bracket, because a conservative

portfolio will generate mostly taxable income (unless it is in a special tax-sheltered account).

Average Allocation: 15% Equities (all Domestic), 85% Fixed Income

3. Moderate conservative

You either have a stronger stomach or a longer time frame than your conservative counterpart. You likely are still working within a short to medium time frame, but have the ability to expose a little more of your portfolio to fluctuation, with the hopes that you will achieve higher overall returns.

Average Allocation: 25% Equities (of which up to 10% can be International), 75% Fixed Income

4. Moderate

A true fence-sitter with a medium time frame, and/or a middle-of-the-road tolerance for risk, you are the picture of balance between fixed income and equities.

Average Allocation: 50% Equities (of which up to 25% can be International), 50% Fixed Income

5. Moderate aggressive

You likely have a long time frame and a good ability to ignore market fluctuations to achieve your long-term goals